

Sunflower Freight Lines LLC

4180 S West St, Wichita, KS 67217
Phone (316) 555-0142 · USDOT 3429187 · MC-1184562

Equipment Lease Agreement — Truck 14

Lease No. L-2209-014

Fleet Unit No. 14

Executed: September 12, 2022

MOTOR VEHICLE / EQUIPMENT LEASE AGREEMENT

COMMERCIAL TRACTOR — CLOSED-END LEASE

Lease No. L-2209-014

THIS MOTOR VEHICLE / EQUIPMENT LEASE AGREEMENT (this “Agreement”) is entered into as of **September 12, 2022**, by and between **Penske Truck Leasing Co., L.P.**, with a place of business at 2675 Morgantown Rd, Reading, PA 19607 (the “**Lessor**”), and **Sunflower Freight Lines LLC**, with a principal place of business at 4180 S West St, Wichita, KS 67217 (the “**Lessee**”). In consideration of the mutual covenants set forth herein, the Lessor hereby leases to the Lessee, and the Lessee hereby leases from the Lessor, the commercial motor vehicle described below (the “**Leased Unit**”), subject to the terms and conditions of this Agreement.

LESSOR Penske Truck Leasing Co., L.P. 2675 Morgantown Rd, Reading, PA 19607 <i>Owner of the Leased Unit</i>	LESSEE Sunflower Freight Lines LLC 4180 S West St, Wichita, KS 67217 <i>Operator under USDOT 3429187</i>
--	---

KEY TERMS OF LEASE

LEASED UNIT	2020 Freightliner Cascadia 126		
VEHICLE IDENTIFICATION NO.	3AKJHHDR4LSMA2261	FLEET UNIT NO.	14
LEASE TERM	48 months	COMMENCEMENT / EXPIRATION	September 12, 2022 – September 12, 2026
MONTHLY RENT	\$2,185.00	RESIDUAL / PURCHASE OPTION	\$38,000.00
ANNUAL MILEAGE CAP	130,000 miles	EXCESS MILEAGE RATE	\$0.12 / mile

TERMS AND CONDITIONS

- 1. TERM.** The term of this Agreement shall commence on **September 12, 2022** and continue for a period of **48 months**, expiring on **September 12, 2026**, unless sooner terminated in accordance with the provisions hereof. The Leased Unit shall be deemed accepted by the Lessee upon delivery, subject to a delivery condition report signed by the parties.
- 2. RENT.** The Lessee shall pay to the Lessor rent in the amount of **\$2,185.00** per month, payable in advance on the first day of each calendar month during the term, without demand, deduction, or offset. Rent not received within ten (10) days of its due date shall bear a late charge of five percent (5%) of the overdue installment. All rent shall be remitted to the Lessor at the address set forth above or as otherwise directed by the Lessor in writing.
- 3. USE & MILEAGE.** The Leased Unit shall be used solely in the lawful conduct of the Lessee’s motor-carrier operations and operated only by properly licensed drivers. The Lessee may operate the Leased Unit up to **130,000 miles** per twelve-month period. Mileage in excess of the cap shall be billed at **\$0.12 / mile**, payable upon expiration or termination of this Agreement.
- 4. MAINTENANCE & INSURANCE.** The Lessee shall, at its sole expense, maintain the Leased Unit in good operating condition and repair in accordance with the manufacturer’s recommendations and all applicable Federal Motor Carrier Safety Regulations. The Lessee shall keep in force commercial automobile liability insurance of not less than \$1,000,000 combined single limit, together with physical-damage coverage for the full value of the Leased Unit, naming the Lessor as additional insured and loss payee. The Lessee bears all risk of loss or damage to the Leased Unit during the term.
- 5. RESIDUAL / PURCHASE OPTION.** Provided the Lessee is not in default, the Lessee shall have the option, exercisable upon expiration of the term, to purchase the Leased Unit for its residual value of **\$38,000.00**, plus any applicable taxes, title, and registration fees. Title shall pass to the Lessee only upon the Lessor’s receipt of the full purchase price in immediately available funds; until then, the Lessee acquires no ownership interest in the Leased Unit.

- 6. DEFAULT.** Each of the following constitutes an event of default: (a) failure to pay any rent or other sum when due; (b) breach of any other covenant continuing for ten (10) days after written notice; or (c) insolvency, assignment for the benefit of creditors, or commencement of bankruptcy proceedings by or against the Lessee. Upon default, the Lessor may, in addition to all other remedies available at law or in equity, declare all remaining rent immediately due, terminate this Agreement, and retake possession of the Leased Unit.
- 7. GOVERNING LAW.** This Agreement shall be governed by and construed in accordance with the laws of the **State of Kansas**, without regard to its conflict-of-laws principles. The parties consent to the exclusive jurisdiction of the state and federal courts located in Sedgwick County, Kansas, for any dispute arising under or relating to this Agreement.

IN WITNESS WHEREOF, the parties have caused this Agreement to be executed by their duly authorized representatives as of the date first written above.

LESSOR

R. Hollis, Regional Leasing Manager

AUTHORIZED SIGNATURE — PENSKE TRUCK LEASING CO., L.P.

R. Hollis, Regional Leasing Manager

PRINTED NAME & TITLE

September 12, 2022

DATE

LESSEE

Marcus T. Delgado

AUTHORIZED SIGNATURE — SUNFLOWER FREIGHT LINES LLC

Marcus T. Delgado

PRINTED NAME & TITLE

September 12, 2022

DATE